

Customer Shopping Behaviour Analysis

Business Problem Statement

Business Context

A retail company collects customer transaction data from multiple purchases but lacks a clear understanding of the factors that drive revenue, customer loyalty, product performance, and purchasing behaviour. As a result, management finds it difficult to make informed decisions regarding marketing campaigns, discount strategies, inventory planning, and customer retention initiatives.

Business Problem

The company does not have visibility into which products, customer segments, and business strategies contribute most effectively to revenue growth. Important decisions are being made without sufficient data-driven insights, creating opportunities for missed revenue, inefficient discounting, and suboptimal customer engagement.

Key Business Questions

- Which product categories generate the highest revenue?
- Are discounts increasing customer spending or reducing profitability?
- Which customer segments (age and gender) contribute the most revenue?
- Do subscribed customers spend more than non-subscribed customers?
- Which products have the highest customer satisfaction ratings?
- Which products are highly dependent on discounts for sales?
- How can customers be segmented based on purchase history and loyalty?
- Which products perform best within each category?

Purpose of Analysis: To transform raw customer transaction data into actionable business insights that support better decision-making and improve overall retail performance.